Although Lashkar was born during the anti-Soviet jihad and its militants fought on several open fronts thereafter, regional dynamics associated with the India-Pakistan rivalry exerted the heaviest influence on it; shaping its dual identity as a state proxy and as a pan-Islamist group. The animosity that besets India-Pakistan relations is not reducible to their historic dispute over the divided region of Kashmir, but that issue remains a major impasse to peace between the two. When an insurgency erupted in the portion controlled by India [hereafter Indian-administered Kashmir] in 1989 the army and its Inter-Services Intelligence Directorate [ISI], the best known and most powerful of the country's intelligence agencies, began supporting militant outfits committed to liberating Kashmir. This was not the first time Pakistan had supported proxies there, nor was this the only territory in which the state promoted pan-Islamic jihad to serve national interests. This policy stretches back to the earliest days of Pakistan's history, as does the practice of building up the notion of Hindu India as an existential enemy of Islamic Pakistan. One result of these policies was to promote the idea that liberating Kashmir was the most legitimate of jihads. Another was to reinforce the idea among the country's Islamists that Pakistan was an Islamic vanguard responsible for protecting Muslims everywhere and so jihad would not end with Kashmir. Meanwhile, the state was supporting jihadi proxies for nationalist, rather than Islamist purposes. So long as this support remained extant, however, official policy aligned with jihadi objectives.

When the government of President Pervez Musharraf allied with America against al-Qaeda and the Taliban after 9/11, it fractured this alignment. The US did not give his government much choice, threatening military retribution if Pakistan did not get on board. Though he received no such guarantees from the US, Musharraf's decision to ally with America was predicated in large part on the hope that by doing so he could insulate some of Pakistan's proxies from the war against al-Qaeda. The Musharraf regime subsequently divided militant outfits into 'good jihadis' and 'bad jihadis' based on their perceived controllability and utility against India. This was an unsustainable model, since it proved impossible to enforce these divisions. By the end of the decade, Pakistan was facing its own jihadi-led insurgency. Yet the army and ISI remained committed to preserving Pakistan's proxy capabilities, creating a situation in which the state was both the supporter and victim of jihadi violence.